

Costs and break-even

Contribution, break-even and decisions

YOUR AIM TODAY

Calculate break-even and interpret what the figures mean.

YOUR RULE

Read the notes twice. Use exact case facts. Every explanation must contain a because link and a therefore business impact. Keep page 4 closed.

Student: Rohan

Start time: _____ Finish time: _____

Date: _____

Knowledge and method

Break-even is the output where total revenue equals total cost.

- Total cost=fixed cost+total variable cost.
- Contribution per unit=price-variable cost per unit.
- Break-even output=fixed cost/contribution per unit.
- Margin of safety=actual output-break-even output.
- Break-even assumes values such as price and variable cost stay constant.

MINI CASE

BeanCart sells cups for PKR 500. Variable cost is PKR 200 per cup and monthly fixed cost is PKR 900,000. It expects to sell 3,500 cups.

WORKED CHAIN

Contribution=500-200=PKR 300. Break-even=900,000/300=3,000 cups. Margin of safety=500 cups.

Knowledge, application and analysis

Use the mini case in Questions 3-6.

Question	Your answer
1. Define fixed cost.	
2. Calculate contribution per cup.	
3. Calculate break-even output.	
4. Calculate margin of safety.	
5. Calculate profit at 3,500 cups.	
6. Explain one limitation of the break-even result.	

QUALITY CHECK

Circle every case fact. Underline every because link. Box every business impact.

Models and correction log

Wording may differ, but the knowledge and chains must be accurate.

Q	Answer / model points
1	A cost that does not change directly with output in the period.
2	PKR 300.
3	3,000 cups.
4	$3,500 - 3,000 = 500$ cups.
5	Total contribution $3,500(300) = 1,050,000$; profit = 150,000.
6	Demand, price or variable cost may change; if sales are below forecast or costs rise, actual break-even will differ.

Q	Missing layer	My improved sentence

SEND FOR MARKING

Send pages 3 and 4. Ask for a level, missing chains, and a rewritten model for the weakest response.